



Market Debunk ✓

Exposing Retail Traps & Institutional Math

#MUTUALFUNDS

The Hidden Math Behind The 1% Expense Ratio Illusion:



Inside: 5-Point Mathematical Breakdown

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SWIPE →

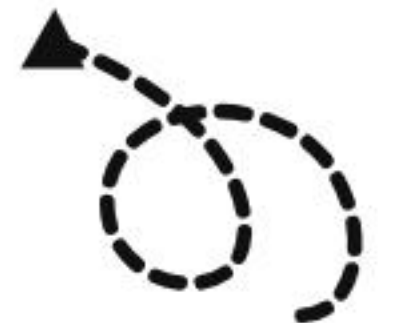


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#MARKETTRUTH

The Illusion of Negligible Fees



The Myth: Retail investors assume a 1% distributor commission is negligible over time.

The Reality: On a ₹15,000 monthly SIP over 25 years, that 1% fee quietly extracts ₹34 Lakhs from your wealth.

Core Rule: Never confuse percentage fees with absolute rupee compounding.



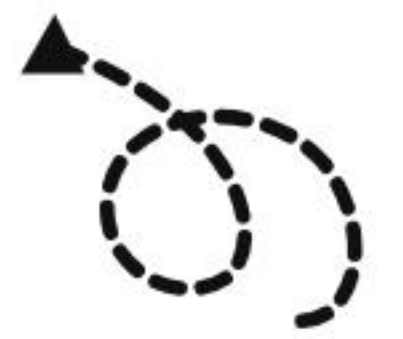
3 Silent Wealth Leakages



- 1. Distributor Trailing Commissions:** Paid every single month out of your net asset value whether the fund gains or loses.
- 2. Opportunity Cost Compounding:** Money paid as fees cannot compound for your retirement over the next decade.
- 3. Zero Extra Alpha:** Regular plans hold the exact same stocks as direct plans with zero added performance.



The 3-Step Capital Recovery Loop



1

AUDIT

Check portfolio for Regular

2

CALCULATE

Run Direct vs Regular cost

3

SWITCH

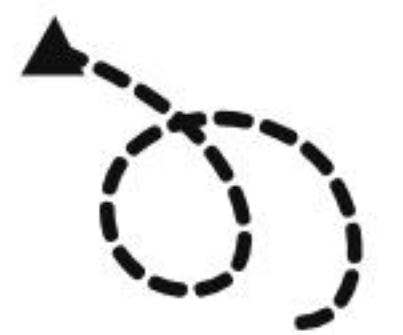
Switch SIP to Direct Zero-Fee

Distributors sell convenience to retail investors.
Direct mutual fund platforms preserve compounding capital.

Takeaway: Audit your expense ratio before adding fresh capital.



3 Rules for Retail Investors



- 1. Audit Nav Direct vs Regular:** Always verify that every fund scheme in your portfolio explicitly has 'Direct' in its name.
- 2. Automate STP Where Applicable:** Do not leave idle cash in distributor savings accounts when switching schemes.
- 3. Verify Total Expense Ratio:** Cap equity fund TER under 0.8% and passive index fund TER under 0.2%.



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